



MARKETING MANAGEMENT



Module 3

Definition & Meaning

▶ Marketing

- ▶ “Marketing is the process of identifying customers and creating, communicating, delivering, exchanging goods and services for the satisfaction and retention of those customers.”

▶ Marketing Management

- ▶ “It is the process of planning, executing and tracking the marketing strategy of an organization.”

▶ Meaning

- ▶ It is basically a process of meeting the needs of consumer profitably.
 - ▶ It is process of exchange of goods between buyer and seller for mutual satisfaction.
 - ▶ It is a process of value creation.
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Marketing vs Selling

Selling

- ▶ Product oriented
- ▶ Factory
- ▶ Existing product and services
- ▶ Sales and promotion
- ▶ Profit through sales volume

Marketing

- ▶ Customer oriented
- ▶ Market
- ▶ Need
- ▶ Integrated marketing
- ▶ Profit through customer satisfaction.



CORE CONCEPTS

▶ **Need**

- ▶ Need is a state of felt deprivation of some basic satisfaction .Ex: Hunger

▶ **Want**

- ▶ Wants are desires of basic satisfiers of need. Ex : Food

▶ **Demand**

- ▶ Wants for specific products, that are backed by an ability and willingness to buy them. Ex: Domino's Pizza

▶ **Products**

- ▶ Anything that can be offered to satisfy a need or want.

▶ **Value, Cost & Satisfaction**

- ▶ Value is consumer's estimation of the product's capacity to satisfy a need.
- ▶ Cost is value that consumer has to bear to acquire a product.

- ▶ Satisfaction is fulfillment of expectation.

CORE CONCEPTS

▶ **Exchange & Transaction**

- ▶ Exchange is the act of obtaining a desired product by offering something in return.
- ▶ Transaction is the trade of value between two parties.

▶ **Relationship & Network**

- ▶ Relationship marketing is building long-term satisfying relations with customers, suppliers and distributors
- ▶ Networks consists of company and all its supporting stake holders.

▶ **Market, Marketing, Marketer & Prospect**

- ▶ Market means all the potential customers sharing a particular need who might be willing to and able to carry a exchange to satisfy need.
 - ▶ Marketing is a managerial process through which people/group obtain what they need by exchanging value with others.
 - ▶ Marketer can be a seller serving a particular market.
 - ▶ Prospect is anybody who has MAN: money, authority and need
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EVOLUTION

Production concept

- **Focus:** Manufacturing process
- **Concern :** Mass Production: Produce goods faster, more efficiently at low prices
- **Value :** Availability

Product concept

- **Focus:** Product Quality
- **Concern :** Unique differentiated features
- **Value:** Product quality

Sales concept

- **Focus:** Selling Process
- **Concern :** Advertising, Sales Promotion , Market research & Distribution
- **Value:** Sales Stimulation

Marketing concept

- **Focus:** Consumer Needs
- **Concern :** Marketing & Customer satisfaction
- **Value:** Customer satisfaction

Societal marketing concept

- **Focus:** Social Welfare
- **Concern :** Address social issues, quality of life, environmental friendliness
- **Value:** Sustainability

Holistic marketing concept

- **Focus:** Entire organization
- **Concern :** Positive & cohesive image
- **Value:** Relationship & Responsibility

IMPORTANCE

- ▶ Helps in transfer and exchange of goods/services
- ▶ Helps in raising and maintaining the standard of living of the community
- ▶ Creates Employment: buying , selling, transporting, financing, warehousing, risk bearing, standardization etc.
- ▶ Source of revenue
- ▶ Basis of decision making
- ▶ Source of new ideas
- ▶ Development of economy.



FUNCTION

- ▶ Product Management
- ▶ Pricing
- ▶ Selling
- ▶ Promotion
- ▶ Marketing information management
- ▶ Distribution – transportation , warehousing etc
- ▶ Financing



Marketing Process

▶ Understanding the market place and customers

- ▶ It is essential to understand the market place in terms of its size and value, to determine the opportunity in the market
- ▶ It is also important to understand customers, their needs ,potentials and behavior in order to deliver satisfaction.

▶ Develop customer driven market strategy

- ▶ Customer driven strategies are more successful than product driven strategies. These are based on relationship marketing.

▶ Deliver high customer value

- ▶ Customer value = perceived benefit / cost.
- ▶ Higher value can be offered in form of functional value, monetary value, social value or psychological value.

▶ Grow profitable customer relations

- ▶ It is based on three strategies: acquire, keep and grow customers
- ▶ The benefits of retained customers are repeat purchases, word of mouth advertising, cross selling and low marketing cost.

▶ Capture customer value in form of profits

- ▶ Increased customer loyalty leads to higher customer equity there by increasing potential profit.



MARKETING MIX: 4 P's

- ▶ The marketing mix, also known as the four P's of marketing, **refers to the four key elements of a marketing strategy:**
 - ▶ product,
 - ▶ price,
 - ▶ place and
 - ▶ promotion.



IMPORTANCE OF MARKETING MIX

- ▶ Helps understand what your product or service can offer to your customers.
- ▶ Helps plan a successful product offering.
- ▶ Helps with planning, developing and executing effective marketing strategies.
- ▶ Helps businesses make use of their strengths and avoid unnecessary costs.



ROLE OF MARKETING MIX

By paying attention to the following four components of the marketing mix, a business can maximize its chances of a product being recognized and bought by customers:

- ▶ **Product.** The item or service being sold must satisfy a consumer's need or desire.
 - ▶ **Price.** An item should be sold at the right price for consumer expectations, neither too low nor too high.
 - ▶ **Promotion.** The public needs to be informed about the product and its features to understand how it fills their needs or desires.
 - ▶ **Place.** The location where the product can be purchased is important for optimizing sales.
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PRODUCT

- ▶ Products are commodities and services that solve problems and satisfy the needs of consumers.
- ▶ A successful product either fills a void in the marketplace or offers a unique experience that spikes demand.
- ▶ **Example.** Before the iPhone was launched, most consumers did not realize the need for a phone that would let them access everything at their fingertips. The way Apple marketed its product compelled people to simplify their lives by carrying a Smartphone that could also serve as a [GPS](#), calendar, search engine, flashlight, weather guide and calculator.



PRICE

- ▶ Price is the cost of the product that the consumer pays.
- ▶ During product marketing, it is important to set a price that reflects the current market trends and is affordable for consumers, yet at the same time is profitable for the business. Price can fluctuate based on the demand and supply and the product's sales cycle.
- ▶ **Example.** Price points play a vital role in making a product successfully. For example, if a product is overpriced, only a few consumers will purchase it. Conversely, a product that is priced too low can give consumers an impression of inferior quality, thus preventing them from purchasing it.



PLACE

- ▶ This is where and how the product or service is purchased by the customers. It also entails where the product is stored and manufactured.
 - ▶ Digital transformation has evolved how products are sold -- online, small local shops or global producers.
 - ▶
 - ▶ Place of distribution can add value to the product by offering place and time utility.
 - ▶ Example. HSBC did a revolution in the banking industry by offering the ATM services for the first time in India , which gave people a 24x7 access to their money.
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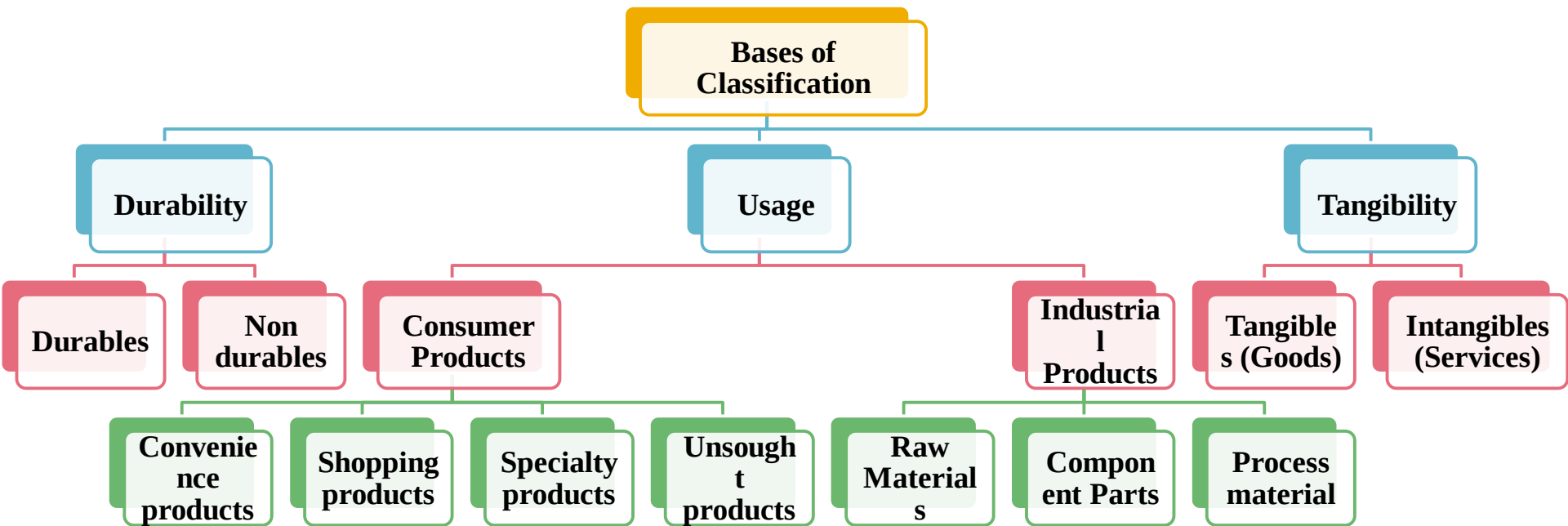


PROMOTION

- ▶ Promotion refers to reaching the target audience with the right message at the right time.
- ▶ A promotional strategy aims to show consumers why they would need a certain product and the reasons for buying it over other products.
- ▶ **Example.** Timing can play an influential role in promotional marketing. Take, for example, the football season during which pizza delivery deals are targeted during games. This entices consumers to try new products they may not have enjoyed otherwise.



Product Classification



Based on Durability : Durables & Non durables

- ▶ Durables are products that are consumed over a relatively longer period of time, usually two to three years or more.

Ex:- video cameras, home appliances etc

- ▶ Non durables are products that are consumed over a short period of time, either in a single use or a couple of uses. They are frequently purchased and consumed at a faster rate.

Ex:- soaps, toothpaste, petrol (FMCG products)



Based on Usage : Consumer Products & Industrial Products

Consumer Products:

Products that are bought by consumers for personal, family or household consumption.

Types of consumer products:

- ▶ **Convenience goods** are everyday items that consumers purchase frequently and with minimal thought and effort. These are typically low-priced and readily available in many locations. The buying decision for these goods is primarily driven by convenience and necessity rather than brand loyalty or extensive research. **Ex: Bread, Milk, News Paper**
 - ▶ **Shopping goods** are products that consumers spend time and effort comparing based on quality, price, and suitability before making a purchase. These goods are usually more expensive than convenience goods and bought less frequently. Consumers are willing to invest time in research and visiting different stores to make the best choice. **Ex: clothing, smart phones**
 - ▶ **Specialty goods** are unique and usually luxury items that consumers make special efforts to purchase. These goods are characterized by distinct features, brand identity, and higher prices. Purchases of specialty goods are often associated with a high level of emotional engagement and brand loyalty. **Ex: Rolex watches, Tesla**
 - ▶ **Unsought goods** are products that consumers do not actively seek out or regularly think about purchasing. Often, these goods require a significant amount of advertising and personal selling. The purchase of unsought goods is usually driven by necessity, emergencies, or the realization of a future need. **Ex: Funeral Services, life insurance, fire extinguishers.**
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Based on Usage : Consumer Products & Industrial Products

Industrial Products:

Products that are purchased to produce another product / facilitate the functioning of an organization.

- ▶ Raw Materials are the basic materials used in producing a product. These products are simple yet purchased in bulk.
- ▶ Component Parts is a finished product or product that needs a little processing before becoming a part of the main product.
- ▶ Process Materials are products that are used directly in the production of the final product.



Based on Tangibility: Goods / Services

- ▶ Goods are products those are tangible in nature. They have a physical existence .
- ▶ Ex:- TV, Pen, sofas, glass etc
- ▶ Services are products those are tangible and perishable in nature. Services can be independent products (haircut, tooth whitening, dry cleaning) or an inseparable part of a product (repair and maintenance, home delivery)

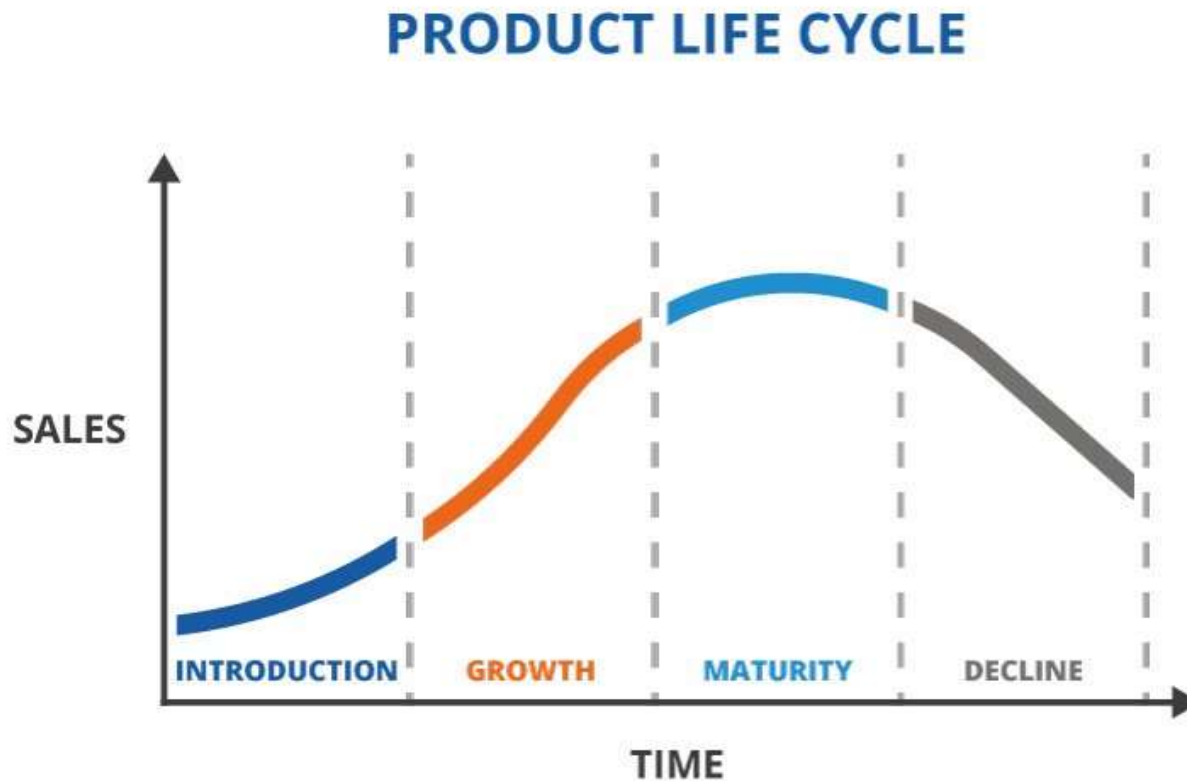


PRODUCT LIFE CYCLE(PLC)

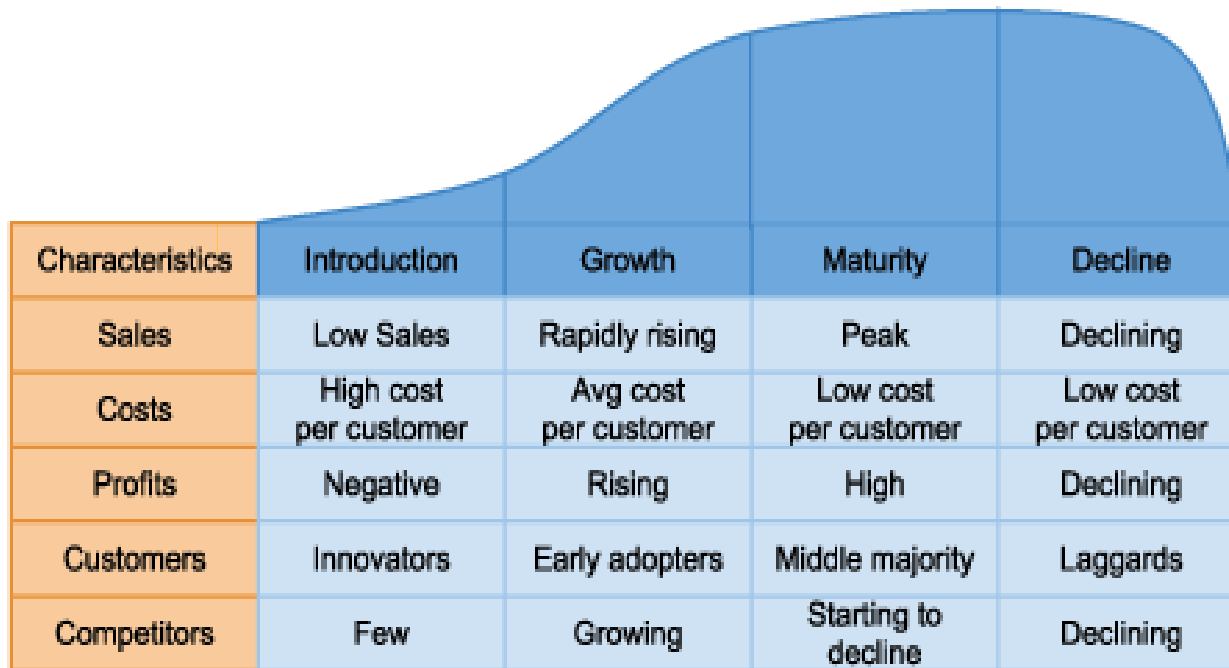
- ▶ **A product life cycle is the length of time from a product first being introduced to consumers until it is removed from the market.**
- ▶ **A product's life cycle is usually broken down into four stages;**
 - ▶ **Introduction,**
 - ▶ **Growth,**
 - ▶ **Maturity and**
 - ▶ **decline.**



PLC



CHARACTERISTICS OF PLC STAGES



Adopted from: Kotler, Marketing Management



New Product Development

- ▶ Idea generation
- ▶ Idea screening
- ▶ Concept testing
- ▶ Business analysis
- ▶ Product development
- ▶ Product use testing
- ▶ Test marketing
- ▶ Commercialization



PRICE

Definition:

“ Price is the monetary units a person pays to obtain one unit of the product.”

Factors affecting pricing : 4C's

- ▶ Cost
- ▶ Customer
 - ▶ Perception
 - ▶ Need Fulfillment
- ▶ Competitor
- ▶ Current Position
 - ▶ Demand & Supply
 - ▶ Image of the brand



PRICING POLICIES & STRATEGIES

▶ Cost based pricing:

- ▶ In this method some percentage of desired profit margins or a certain percentage of the total cost of production is added to the cost of the product to determine the selling price.

▶ Value / demand based pricing:

- ▶ In this method price is determined by analyzing the demand of the product or perceived value of the product.

▶ Competition based pricing:

- ▶ In this method price is set as per the competitors price. Intensity of competition in the industry helps to decide the price.



PLACE (DISTRIBUTION)

- ▶ Distribution is a marketing activity that facilitate the exchange of value in the marketing process.
- ▶ Add value in the process of delivering:
 - ▶ Speed
 - ▶ Accuracy
 - ▶ Convenience
 - ▶ Empathy
 - ▶ Risk sharing



ROLE OF DISTRIBUTION

- ▶ Facilitating the Exchange Process
 - ▶ Fill the gap between production and consumption
 - ▶ Time utility: making the product available when consumer need it
 - ▶ Space utility: making the product available where consumer need it
 - ▶ Quantity utility: making the product available in the quantity in which consumer need it
 - ▶ Variety utility: offering product in right combination (brands, packet size)
 - ▶ Alleviating Discrepancies
 - ▶ Quantity: products are made available in different quantities.
 - ▶ Assortment: products of different brands are made available at one place.
 - ▶ Standardizing Transactions : Offering same service to all
 - ▶ Matching Buyers and Sellers
 - ▶ Providing Customer Service
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CHANNEL LEVELS

- ▶ Zero level /direct marketing

- ▶ One level / primary level



- ▶ Two level/ secondary level



- ▶ Three level/ tertiary level



TYPES

- ▶ **Intensive distribution**

- ▶ Product is made available in every / many outlets

- ▶ **Exclusive distribution**

- ▶ Product is made available in company owned outlets / franchises

- ▶ **Selective distributions**

- ▶ Product is made available in selected places / selected outlets



Selection of distribution Channel

- ▶ Understanding the target market
 - ▶ Consumer Preference
 - ▶ Buying behavior
 - ▶ Geographic distribution
 - ▶ Assess product characteristics
 - ▶ Analyze competitors and industry practice
 - ▶ Consider channel option
 - ▶ Evaluate channel partners
 - ▶ Reputation
 - ▶ Reach
 - ▶ Financial ability
 - ▶ Experience and capabilities
 - ▶ Develop channel strategies
 - ▶ Implement and monitor
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PROMOTION

- ▶ Marketing communication refers to activities deliberately focused on promoting an offering among target audiences.
 - ▶ **Integrated marketing communication** is the process of coordinating all the communication activities using different promotional tools.
 - ▶ Tools of promotion are:
 - ▶ Advertising
 - ▶ Public Relation
 - ▶ Sales Promotion
 - ▶ Personal selling
 - ▶ Digital Marketing
 - ▶ Direct Marketing
 - ▶ Publicity
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PROMOTION MIX

- ▶ **Advertising:** Any paid form of non personal communication made by an identified sponsor to promote goods and services for personal or organisational use. Benefits are:
 - ▶ Low cost and wide reach
 - ▶ Create awareness, interest and desire.
 - ▶ Creates positive impact with repetition
 - ▶ Can boost the sales
 - ▶ Helps in brand positioning.



Developing an Advertising Campaign

- ▶ Identification of target audience
- ▶ Developing Advertising objectives
 - ▶ Inform , persuade and remind
- ▶ Setting advertising budget
 - ▶ Objective and task method
 - ▶ Percentage of sales method
 - ▶ Affordability method
 - ▶ Competitive parity method
- ▶ Developing Advertising message
 - ▶ Content , appeal and presentation
- ▶ Selection of right media
- ▶ Evaluation of advertising effectiveness



PROMOTION MIX

▶ **Public relations (PR):** The planned and sustained efforts to establish and maintain a goodwill and understanding between organization and public.

- ▶ It projects the organization as a responsible corporate citizen.
- ▶ This happens through unpaid or earned promotional opportunities: articles, press and media coverage, winning awards, giving presentations at conferences and events, crisis management, content development etc.
- ▶ It is an credible source of communication.

▶ **Personal selling:** Personal selling uses people to develop relationships with target audiences for the purpose of selling products and services. Personal selling puts an emphasis on face-to-face interaction, understanding the customer's needs, and demonstrating how the product or service provides value. Its benefits are:

- ▶ It involves high cost
- ▶ It is specific and has high impact
- ▶ It involves two way communication

▶ .



PROMOTION MIX

- ▶ **Digital marketing:** Digital marketing covers a lot of ground, from Web sites to search-engine, content, and social media marketing. Digital marketing tools and techniques evolve rapidly with technological advances, but this umbrella term covers all of the ways in which digital technologies are used to market and sell.
- ▶ **Direct marketing:** This method aims to sell products or services directly to consumers rather than going through retailers. Catalogs, telemarketing, mailed brochures, or promotional materials and television home shopping channels are all common traditional direct marketing tools. Email and mobile marketing are two next-generation direct marketing channels.



PROMOTION MIX

▶ **Sales promotion:**

- ▶ Sales promotions are marketing activities that aim to temporarily boost sales of a product or service by adding to the basic value offered, such as “buy one get one free” offers to consumers or “buy twelve cases and get a 10 percent discount” to wholesalers, retailers, or distributors
- ▶ **Consumer sales promotion**
 - ▶ It is offer to consumers and it is advertised in different medias.
 - ▶ It is a part of pull strategy
 - ▶ Ex: coupons, discounts, samples, premiums, membership etc
- ▶ **Trade sales promotion**
 - ▶ It is offered to retailers, wholesalers, distributors etc
 - ▶ It is a part of push strategy
 - ▶ Ex: POP displays, tradeshow, sponsorship events, dealer loader, buying allowance etc.

